

The following is the Balance Sheet and the Income statement of a company.

Prepare the statement of cashflows for the company.

(All figures in \$Million)

Balance Sheet 2019

Assets

Fixed Assets	100
Receivables	50
Inventory	30
Cash	20
Total Assets	200

Liabilities

Equity	80
Loans	50
Payables	40
Provisions	30
Total Liabilities	200

Balance Sheet 2018

Assets

Fixed Assets	90
Receivables	50
Inventory	30
Cash	20
Total Assets	190

Liabilities

Equity	80
Loans	55
Payables	35
Provisions	20
Total Liabilities	190

Income Statement 2019

Revenue	50
Cost of Goods	10
Operational costs	20
Depreciation	5
Interest cost	3
Tax	2
Net Income	10

Net working Capital(NWC) = Payables – Receivables – Inventory = 40-50-30 = -40

Operating Cash Flow

EBITDA	20
Tax	-6
Change in NWC	-5
Change in Provisions	10
Operating Cash Flow	18

Investing Cash Flow

Change in Fixed Assets	-10
Depreciation 2019	-5
Change in TP on capex	1
Investing Cash Flow	-14

Financing Cash Flow

Change in Financial debt	-5
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Interest cost 2019	-3
Change in earnings	-6
Financing Cash Flow`	-14

Net Cash Flow	18-14-14 = -10
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